

Did you cover any of your shorts during the market freefall?

I don't believe I covered much because most of the stocks I was short were low quality, and I didn't think there was a need to cover them quickly. Instead of covering shorts, I started buying stocks that I really liked.

But some of the stocks you were short must have been down by 30 percent or more that day.

I was short these fly-by-night companies, some of which were probably manipulated. I think there were only two stocks that were up on October 19, 1987, and I was short one of them. It eventually cratered. I have always tried to be long and short in things that I really believed in for the longer term—situations in which I felt that the fundamental underpinnings of the company were completely different from the way it was being priced.

In 1987, you went from margin calls to windfall profits. Did the 1987 experience influence you in any way?

1987 was the first year I made more money in the market than I did in my job. That was an eye-opener for me. And every year after that, I made more money in the market than in my job.

How did you go from a career as a chemical engineer and the manager of European operations for a chemical company to being a portfolio manager?

If you had asked me a year before I left Rohm & Haas whether I would ever leave, I would have told you that I was there for the duration. My aspiration was to be CEO of Rohm & Haas. The reason I had been investing in the stock market up to that point was that I liked risk taking, and I wanted to be financially independent. I knew I couldn't reach my financial goals on my salary. I was cruising along on a pretty good path; my investments were working for me, and I was making more money on them than in my job. My net worth reached \$1.6 million. I thought, *3 percent of \$1.6 million is \$48,000; I could live on that.* Once I had that realization, all of a sudden, the economic necessity to keep on working went away. Until that point, every time I asked myself, *When are you*